**Q. The Centre has already committed Rs 100 lakh crore till 2024 for infrastructure. Do you expect any new measures in the budget for the infra and construction sectors?**

● **HIRANANDANI:** Whatever is the investment target on infrastructure, it is very good at this point in time. We are making 35 km of roads per day, which needs to go up to 70 km. We are going to have 100 new airports, then water transport. Our total cost of transport of goods is 14 per cent, compared to 7 per cent in China. So, if you focus on infrastructure, you're not only getting good quality in terms of employment, but your total transport cost of every product going to the market will come down by 50 per cent. When you put up infrastructure and you extend the areas of growth, like we're doing in Mumbai, we're adding land equivalent to half the land of Mumbai just across the harbour. Right from Panvel to Karjat, we're adding this land with a railway line and metro connectivity. So, investment into infrastructure will see total manufacturing and delivery costs come down, we become internationally more competitive, and MSMEs, which are in trouble because they're not able to afford the transportation and other costs, will also benefit.

● **RANADE:** Let's not forget urban infra and urban transportation. Almost in every city, if you ask people what their top four concerns were, traffic would be one of them. In a city like Pune, public ridership has actually gone down. Washington, D.C. introduced this radical idea that all public buses will be free, and ridership has gone up. In Mumbai, the BEST bus tickets have been brought down to Rs 10, and ridership has gone up. So, imagine the reduction in congestion cost.

● **SABNAVIS:** We should also focus on the quality of roads. Also, more private sector participation has to come in.

## BITE

**Q. Since 2018, the Centre has gradually increased tariffs on various products. Has this helped boost domestic manufacturing?**

● **RANADE:** Raising import tariffs is inconsistent with openness. If you want good growth, we need to invite FDI and fearlessly engage the world so that global value chains can locate within India, and there is import and output flow all the time. There should be a moderate rate of about 6 or 7 per cent, but our rates have gone up steadily. It should be Atmanirbhar (self-reliant) with Atmavishwas (self-confidence). We have to be confident in engaging the world, and not hide behind protectionism. We want to be self-sufficient but with the confidence that we can be world-class.

● **SABNAVIS:** While our export of electronics is going up, by subsidising them, I'm actually distorting the pricing structure. I'm giving them an incentive so that I can increase my exports. When you increase tariffs, say, on steel imports, steel producers are very happy because steel imports come down. But the auto sector is impacted as its costs go up. So, for import duty of any particular product, there will be one gainer and one loser.

● **JOSHI:** I agree that raising import duty doesn't work in this environment. You have to lower them because you also import and export after adding value. The focus should be on making domestic manufacturing competitive by addressing bottlenecks.



**"Imposition of import tariff of any kind is not good for the long term. Globally, import restrictions have gone up as countries have become more protectionist. To some extent, it is also retaliatory"**

**VIVEK KUMAR**
*Economist, QuantEco Research*

● **KUMAR:** Imposition of import tariff of any kind is not good for the long term. Globally, import restrictions have gone up as countries have become more protectionist. To some extent, it is also retaliatory. ■